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ternational markets. Sandvik Asia, Atlas Copco, Alfa Laval and SKF Bearings followed suit and were key to growing the area's industrial activity. But it was the arrival of international OEMs like Mercedes-Benz, Piaggio, Skoda, General Motors (GM), VW and Fiat that put it on the global map as an auto hub. "When OEMs come, ancillaries also come rushing in. These German and Korean foreign players came as fierce competition. Our local companies had to up their game. That hastened the development and upgrade of the whole ecosystem," says Vinnie Mehta, Director General of the Automotive Component Manufacturers Association (ACMA).

Today, the Chakan auto cluster has around 750 automobile manufacturing units that employ close to 250,000 people. Local businessmen say the Maharashtra government has played a key role in attracting investments and developing this area into a full-fledged industry.

At a recent conclave, Aaditya Thackeray, Minister for Environment and Tourism in the Govern-

ment of Maharashtra, said that areas in Talegaon and Chakan are expected to emerge as major centres for production of EVs due to the ready automotive ecosystem in these areas. "Almost 73 per cent vendors of a global EV giant are from the state. Maharashtra has made a giant leap in terms of EV adoption," he had said. The Maharashtra government facilitates adoption of EVs through price drop incentives and subsidies for both consumers and manufacturers under its Electric Vehicle Policy, 2021-2025, which has an outlay of ₹930 crore.

THE SECOND LARGEST city of Maharashtra is well on its way to becoming the EV hub of India since many start-ups based in the city crossed the landmark of ₹1,000 crore in investments as of the first week of April. Most of these investments have been made by big players in the automobile industry such as Mahindra and Mahindra, Piaggio and Bajaj. "EV is a major disruption that the automotive industry is seeing after many years. It is a huge opportunity for us as we can leverage our existing strong relationships with OEMs to supply conventional products as well as offer the entire value chain within the EV space to our customers," says Supriya Badve, Executive Director of Badve Engineering, a maker of

two-wheeler suspension and mirrors, polymer processing, security hardware, etc., for clients that include Royal Enfield, TVS, Bajaj and Jaguar Land Rover, among others.

That said, many MSMEs depend on conventional engine parts for a living. "If fuel gets over, our business gets over. I don't foresee that for the next 10 years when 20 per cent of auto volume will be into EVs. Going forward, engine production will move to low-cost countries. India will produce more ICE engines. Global players like Cummins are not putting [up] their own plants. They're looking at one big engine manufacturer who will become the largest player till the time the run goes," says Nishant Sagar, Director of Dyna-K Automotive Stampings, which caters to precision stamping and pressed components' requirements for Tier I and OEM customers like Maruti Suzuki, Bosch, Ashok Leyland, Eicher, etc.

Mehta of ACMA says that with the industry undergoing significant transformation on the technology front, the challenge for parts makers is where to invest. "Currently the volumes in EVs are low, that's why companies are not jumping onto the bandwagon. The government should take a technology-agnostic approach. Ultimately the customer will decide what sticks. Global companies are increasingly going for partnerships with domestic companies. Collaboration and co-creation is the way forward," he says.

Auto ancillary makers say recovery has been quick for them post the pandemic. Divgi TorqTransfer Systems has domestic clients like Tata, Mahindra, Force Motors, Ashok Leyland, etc. "The recovery has been quite good compared to what I see in Europe and the US because we have suppliers and customers there as well. The chip shortage has affected the ability of the industry to bounce back to the full extent of its potential of recovery," says Divgi.

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